

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH JUNE 2023

I	STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2023	BANK				GROUP			
		30th June 2022	31st Dec 2022	31st Mar 2023	30th June 2023	30th June 2022	31st Dec 2022	31st Mar 2023	30th June 2023
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Un Audited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	Un Audited (Ksh'000)
1	Cash balances (both local and foreign)	452,155	544,451	447,487	386,088	452,155	544,451	447,487	386,088
2	Balances due from Central Bank of Kenya	1,717,933	1,563,593	1,825,559	2,136,594	1,717,933	1,563,593	1,825,559	2,136,594
3	Kenya Governmentand other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
	a) Held to Maturity:	2,690,750	3,779,143	3,890,538	3,822,996	2,690,750	3,779,143	3,890,538	3,822,996
	a. Kenya Government securities	2,690,750	3,779,143	3,890,538	3,822,996	2,690,750	3,779,143	3,890,538	3,822,996
	b. Other securities	-	-	-	-	-	-	-	-
	b) Available for sale:	6,536,468	4,760,994	5,595,710	5,981,268	6,536,468	4,760,994	5,595,710	5,981,268
	a. Kenya Government securities	6,536,468	4,760,994	5,595,710	5,981,268	6,536,468	4,760,994	5,595,710	5,981,268
	b. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	166,204	41,914	680,153	493,904	166,204	41,914	680,153	493,904
7	Deposits and balances due from banking institutions abroad	493,797	47,326	20,560	168,284	493,797	47,326	20,560	168,284
8	Tax recoverable	235,840	225,496	225,496	224,417	363,906	365,267	358,026	362,757
9	Loans and advances to customers (net)	36,114,523	36,909,331	37,403,412	38,376,289	34,886,600	36,299,175	36,966,632	38,056,011
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-	-
13	Investment in Joint ventures	133,010	194,220	194,220	194,220	1,392,117	1,613,173	1,684,669	1,731,585
14	Investment properties	690,592	780,000	780,000	780,000	1,376,152	1,849,000	1,849,000	1,849,206
15	Property and equipment	1,507,787	573,449	600,909	611,076	1,512,508	579,410	607,072	617,633
16	Prepaid operating lease rentals	-	-	-	-	-	-	-	-
17	Intangible assets	452,789	331,846	288,380	241,641	453,631	332,592	289,066	242,279
18	Deferred tax asset	1,417,208	1,383,142	1,415,715	1,376,359	1,640,244	1,614,992	1,647,426	1,608,070
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	2,507,222	4,033,466	3,596,655	3,715,747	2,058,500	3,604,823	3,126,279	3,260,448
21	TOTAL ASSETS	55,116,279	55,168,371	56,964,794	58,508,883	55,740,965	56,995,854	58,988,177	60,717,123
	B. LIABILITIES								
22	Balances due to Central Bank of Kenya	-	499,777	993,697	1,995,677	-	499,777	993,697	1,995,677
23	Customer deposits	39,261,811	39,861,732	41,283,925	40,774,975	39,106,955	39,796,941	41,205,501	40,683,736
24	Deposits and balances due to local banking institutions	781,478	24,317	416,834	2,023,717	781,478	24,317	416,834	2,023,717
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	4,723,356	4,370,617	4,366,042	4,151,548	4,731,306	4,370,617	4,366,042	4,151,548
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	-	-	-	-
30	Dividends payable	-	-	-	-	246	246	246	246
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	2,501,530	2,049,245	1,512,677	1,204,942	3,167,424	3,534,326	3,213,917	3,004,393
34	TOTAL LIABILITIES	47,268,175	46,805,688	48,573,175	50,150,859	47,787,409	48,226,224	50,196,237	51,859,317
	C. SHAREHOLDERS' FUNDS								
35	Paid up /Assigned capital	5,000,000	5,090,000	5,090,000	5,090,000	1,923,071	1,923,071	1,923,071	1,923,071
36	Share premium / (discount)	3,513,662	3,513,662	3,513,662	3,513,662	4,343,512	4,343,512	4,343,512	4,343,512
37	Revaluation reserves	310,662	593,667	593,667	593,667	1,012,125	1,295,128	1,295,128	1,295,128
38	Retained earnings / Accumulated losses	(4,415,833)	(4,471,841)	(4,784,352)	(5,146,193)	(2,783,771)	(2,448,283)	(2,767,329)	(3,033,153)
39	Statutory loan loss reserves	3,509,473	3,696,575	4,054,555	4,463,428	3,509,473	3,696,575	4,054,555	4,463,429
40	Other Reserves	(69,861)	(59,380)	(75,914)	(156,541)	(50,854)	(40,373)	(56,997)	(134,181)
41	Proposed dividends	-	-	-	-	-	-	-	-
42	Capital grants	-	-	-	-	-	-	-	-
43	TOTAL SHAREHOLDERS' FUNDS	7,848,103	8,362,683	8,391,619	8,358,023	7,953,555	8,769,630	8,791,940	8,857,806
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	55,116,279	55,168,371	56,964,794	58,508,883	55,740,965	56,995,854	58,988,177	60,717,123
II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2023	BANK				GROUP			
		30th June 2022	31st Dec 2022	31st Mar 2023	30th June 2023	30th June 2022	31st Dec 2022	31st Mar 2023	30th June 2023
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)
1	INTEREST INCOME								
1.1	Loans and advances	1,711,252	3,470,344	920,708	1,916,706	1,629,049	3,321,592	900,878	1,885,468
1.2	Government securities	435,769	937,923	267,217	558,139	435,769	937,884	267,217	558,139
1.3	Deposits and placements with banking institutions	7,469	10,522	10,075	11,719	7,469	10,522	10,075	13,053
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	Total interest income	2,154,490	4,418,788	1,198,000	2,486,564	2,072,287	4,269,998	1,178,170	2,456,660
2	INTEREST EXPENSES								
2.1	Customer deposits	764,686	1,588,292	413,048	740,965	764,686	1,588,292	412,754	709,727
2.2	Deposits and placement from banking institutions	83,934	159,304	32,308	120,605	83,934	148,740	32,308	120,605
2.3	Other interest expenses	203,067	373,337	103,715	322,841	198,621	373,337	103,715	352,745
2.4	Total interest expenses	1,051,687	2,120,933	549,071	1,184,411	1,047,241	2,110,369	548,777	1,183,077
3	NET INTEREST INCOME/(LOSS)	1,102,803	2,297,856	648,929	1,302,153	1,025,046	2,159,629	629,393	1,273,583
4	OTHER OPERATING INCOME								
4.1	Fees and commissions on loans and advances	69,071	171,073	52,278	101,276	69,071	171,073	52,278	101,276
4.2	Other fees and commissions	82,120	131,311	25,513	85,052	82,120	131,311	25,513	127,213
4.3	Foreign exchange trading income/(Loss)	72,853	136,332	42,065	82,717	72,853	136,332	42,065	82,717
4.4	Dividend Income	-	-	-	-	-	-	-	-
4.5	Other income	49,695	189,492	29,336	30,983	273,990	440,978	154,813	236,925
4.6	Total Non-interest income	273,739	628,208	149,193	300,028	498,034	879,693	274,670	548,131
5	TOTAL OPERATING INCOME	1,376,542	2,926,064	798,122	1,602,181	1,523,080	3,039,322	904,063	1,821,714
6	OPERATING EXPENSES								
6.1	Loan loss provision	58,564	194,130	101,749	159,009	102,593	194,130	101,749	159,009
6.2	Staff costs	560,634	1,174,123	320,260	663,228	626,619	1,330,440	357,902	742,964
6.3	Directors' emoluments	10,006	25,713	5,566	14,175	16,514	38,801	7,437	21,320
6.4	Rental charges	68,115	51,895	15,848	73,045	68,115	53,957	16,554	75,070
6.5	Depreciation charge on property and equipment	93,590	146,166	33,406	78,146	58,687	148,105	33,941	38,375
6.6	Amortisation charges	117,739	239,860	46,946	100,725	117,802	239,973	46,987	100,805
6.7	Other operating expenses	419,266	993,506	227,220	414,920	470,476	837,256	249,447	484,423
6.8	Total Other Operating Expenses	1,327,914	2,825,392	750,995	1,503,249	1,460,806	2,842,662	814,016	1,621,966
7	Profit/(loss) before tax and exceptional items	48,628	100,671	47,127	98,932	62,273	196,660	90,046	199,749
8	Exceptional items	1,500	(3,921)	-	-	3,592	(6,265)	-	-
9	Profit/(loss) after exceptional items	47,128	96,751	47,127	98,932	58,682	190,394	90,046	199,749
10	Current tax	-	(10,152)	(1,656)	(6,431)	8,797	(25,582)	(6,730)	(17,765)
11	Deferred tax	-	91,624	-	-	-	100,758	-	-
12	Profit/(loss) after tax and exceptional items	47,128	178,223	45,471	92,501	49,885	265,570	83,316	181,984
13	Other Comprehensive Income								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	47,128	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	(92,311)	(77,337)	(25,905)	(136,171)	(92,311)	(77,337)	(25,905)	(136,171)
13.3	Revaluation surplus on Property, plant and equipment	-	404,292	-	-	-	404,292	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	27,693	(98,087)	7,771	40,851	27,693	(98,087)	7,771	40,851
14	Other Comprehensive Income for the year net of tax	(64,617)	228,869	(18,134)	(95,320)	(64,617)	228,869	(18,134)	(95,320)
15	Total comprehensive income for the year	(17,489)	407,091	27,337	(2,819)	(14,733)	494,439	65,182	86,664
	Earnings Per Share	18.85	46.69	35.73	36.35	0.26	0.92	0.87	0.95

		BANK				GROUP			
III DISCLOSURES		30th June 2022	31st Dec 2022	31st Mar 2023	30th June 2023	30th June 2022	31st Dec 2022	31st Mar 2023	30th June 2023
AS AT 30 JUNE 2023		UnAudited	Audited	UnAudited	UnAudited	UnAudited	Audited	UnAudited	UnAudited
		(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Non-Performing Loans and Advances								
a)	Gross non-performing loans and advances	8,323,322	8,486,934	8,778,924	10,539,330	8,323,322	8,486,934	8,778,924	10,539,330
b)	Less: Interest in Suspense	2,745,776	2,780,355	2,917,562	3,087,084	2,745,776	2,780,355	2,917,562	3,087,084
c)	Total non-Performing loans and advances (a-b)	5,577,546	5,706,580	5,861,362	7,452,246	5,577,546	5,706,580	5,861,362	7,452,246
d)	Less: Loan loss provisions	3,714,942	3,910,868	4,232,472	4,502,667	3,714,942	3,910,868	4,232,472	4,502,667
e)	Net non-performing loans and advances(c-d)	1,862,604	1,795,712	1,628,890	2,949,579	1,862,604	1,795,712	1,628,890	2,949,579
f)	Discounted value of securities	1,862,604	1,795,712	1,628,890	2,949,579	1,862,604	1,795,712	1,628,890	2,949,579
g)	Net Exposure(e-f)	-	-	-	-	-	-	-	-
2	Insider loans and advances								
a)	Directors, shareholders and associates	2,169,046	1,784,069	1,588,522	1,469,646	2,169,046	1,784,069	1,588,522	1,469,646
b)	Employees	885,237	1,049,491	1,063,605	1,140,641	885,237	1,049,491	1,063,605	1,140,641
c)	Total insider Loans and Advances	3,054,283	2,833,560	2,652,127	2,610,287	3,054,283	2,833,560	2,652,127	2,610,287
3	Off-Balance Sheet items								
a)	Letters of credit, guarantees and acceptances	1,195,329	1,935,097	1,738,712	1,622,131	1,195,329	1,935,097	1,738,712	1,622,131
b)	Forwards, swaps and options	1,167,210	1,815,854	1,982,895	1,601,939	1,167,210	1,815,854	1,982,895	1,601,939
c)	Other contingent liabilities	-	-	-	-	-	-	-	-
d)	Total contingent liabilities	2,362,539	3,750,951	3,721,607	3,224,070	2,362,539	3,750,951	3,721,607	3,224,070
4	Capital Strength								
a)	Core Capital	3,066,840	3,185,061	2,786,090	2,441,634				
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000				
c)	Excess/Deficiency	2,066,840	2,185,061	1,786,090	1,441,634				
d)	Supplementary Capital	1,473,039	1,532,252	1,502,726	1,445,078				
e)	Total Capital (a+d)	4,539,879	4,717,313	4,288,816	3,886,712				
f)	Total Risk Weighted Assets	37,843,107	38,520,149	38,824,731	38,212,930				
g)	Core capital / Total deposit liabilities	7.8%	8.0%	6.7%	6.0%				
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%				
i)	Excess/Deficiency	-0.2%	0.0%	-1.3%	-2.0%				
j)	Core capital / Total risk weighted assets	8.1%	8.3%	7.2%	6.4%				
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%				
l)	Excess/Deficiency(l-k)	-2.4%	-2.2%	-3.3%	-4.1%				
m)	Total capital / Total risk weighted assets	12.0%	12.2%	11.0%	10.2%				
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%				
o)	Excess/Deficiency(m-n)	-2.5%	-2.3%	-3.5%	-4.3%				
5	Liquidity								
a)	Liquidity Ratio	26%	25.2%	24.7%	21.0%				
b)	Minimum Statutory Ratio	20%	20.0%	20.0%	20.0%				
c)	Excess(Deficiency) (a-b)	6%	5.2%	4.7%	1.0%				